to $2.8 billion, apparently because its executives and employees exercised fewer options that year. The same sell-low, buy-high pattern is evident at dozens of other technology companies.

What's going on here? Two surprising factors are at work:

- Companies get a tax break when executives and employees exercise stock options (which the IRS considers a "compensation expense" to the company).[20] In its fiscal years from 2000 through 2002, for example, Oracle reaped $1.69 billion in tax benefits as insiders cashed in on options. Sprint Corp. pocketed $678 million in tax benefits as its executives and employees locked in $1.9 billion in options profits in 1999 and 2000.
- A senior executive heavily compensated with stock options has a vested interest in favoring stock buybacks over dividends. Why? For technical reasons, options increase in value as the price fluctuations of a stock grow more extreme. But dividends dampen the volatility of a stock's price. So, if the managers increased the dividend, they would lower the value of their own stock options.[21]

No wonder CEOs would much rather buy back stock than pay dividends —regardless of how overvalued the shares may be or how drastically that may waste the resources of the outside shareholders.

Keeping Their Options Open

Finally, drowsy investors have given their companies free rein to over-pay executives in ways that are simply unconscionable. In 1997, Steve Jobs, the cofounder of Apple Computer Inc., returned to the company as its "interim" chief executive officer. Already a wealthy man, Jobs insisted on taking a cash salary of $1 per year. At year-end 1999, to thank Jobs for serving as CEO "for the previous 2 1/2 years without compensation," the board presented him with his very own Gulfstream jet, at a cost to the company of a mere $90 million. The next month Jobs agreed to drop "interim" from his job title, and the board rewarded him with options on 20 million shares. (Until then, Jobs had held a grand total of two shares of Apple stock.)